

PRIM pitch deck

PITCH — PRIM — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO POSITION. Do not buy and do not short Primoris at ~\$83.30; watch it into the Q3 report (~2026-11-02, date unconfirmed), where management's maintained full-year guidance either survives or takes a third cut.

What we believe

Primoris Services (infrastructure and energy construction, CIK 1361538) is taking real damage right now, and management's maintained full-year guidance requires a second half strong enough to contradict management's own statements.

The first half, from the company's own filings: Q2 adjusted EBITDA of \$11.4M, down 92.6% from a year ago (H1 total \$71.9M); the Energy segment's Q2 gross profit was actually negative (-\$2.7M, versus a 10.8% margin a year earlier); first-half operating cash flow was -\$131.3M; and the balance sheet swung from \$62.8M of net cash at year-end to \$582.9M of net debt at June 30. Management nonetheless kept the full-year EBITDA guide at \$275–325M — a guide already cut twice from an original \$480–500M.

Three independent pieces of arithmetic, all built from officially filed documents, show the same strain:

1. **EBITDA:** hitting the maintained guide requires \$203–253M in the second half — 2.8 to 3.5 times what the first half produced.
2. **Net income:** the company guides full-year net income of \$71–101M, but the first half was a \$6.7M *loss*, so the second half must deliver \$78–108M of profit after a losing quarter.
3. **Energy margins:** the full-year Energy gross-margin target is 6–8%, but the first half ran at 3.6% — so at flat revenue the second half must run roughly 8.4–12.4%, at or above the “historical 10–12%” level management itself says only returns in 2027. That is an internal inconsistency inside a single company press release.

The identified swing factor cutting both ways: \$244.0M of contract changes not yet approved by customers, of which \$205.9M has *already been booked as revenue*. Customer approval is the mechanism that would deliver the cash and the margins; failure to get approval is the mechanism for further reversals (the first half already absorbed \$87.6M of downward estimate revisions, \$71.1M of it in Q2 alone). The company is also facing securities litigation over exactly this — its estimation controls.

We do not know which way this resolves. That is why the proposed verdict is no position in either direction until the Q3 report answers the margin and cash-flow questions.

What the market believes

The stock is at \$83.30, down 59.5% from its 52-week high of \$205.50 — so the market has clearly punished the two guidance cuts. But it is also up ~28% from its 52-week low of \$65, and up roughly 11% from its ~\$74.76 low of the past three months. The market is not treating this as a company in distress: it is giving management credit for the maintained guidance, taking comfort from stated covenant compliance and manageable leverage (about 1.9x net debt to guided EBITDA at the midpoint), and treating the second-half recovery as plausible — construction is seasonally back-half-weighted, and last year's second half really did produce \$325.8M of operating cash flow.

Why we might have edge

- The strain is **arithmetic, not opinion**, and it lives inside the company's own filed and furnished documents — the press release's full-year targets simply don't reconcile with the 10-Q's first-half actuals without a second half management itself describes as a 2027 outcome.
- The market's ~11% recovery since the June cut suggests investors are extending trust to a guide whose internal math is strained — and whose credibility already failed twice this year.
- The **\$205.9M of revenue booked on unapproved change orders** is a specific, dated, checkable overhang most holders are probably not tracking line-by-line, and it sits on top of active litigation about estimation controls.
- Our adversarial process caught what a casual bear would get wrong (see the table below) — the surviving case is the one that withstood a deliberate demolition attempt.

Why it might be priced in

Stated symmetrically, because the concessions are real:

- Down 59.5% is a lot of punishment already; the easy money on the bear side has been made.
- Leverage, on corrected numbers, is **not** alarming: ~1.9x against the guide midpoint, covenant-compliant per the 10-Q. The original bear brief's scary balance-sheet figures (\$1,715M receivables, \$1,061M net debt) were simply wrong.
- The alleged “unbilled receivables blowout” isn't there: contract assets are *flat* (\$937.7M vs \$936.9M), and retainage is already being collected (\$311.2M → \$291.3M).
- A huge second half has precedent — H2 2025 produced roughly \$269.5M of free cash flow — so “the guide implies a record half” is a weaker claim than it sounds.
- Change-order approval is genuinely possible; if the \$244M gets approved, the cash arrives, the margins reconstruct, and the maintained guide is vindicated. The stock would not wait for us.

What we checked ourselves

Both benches worked from SEC primaries (fetched via proxy after sec.gov 403s) and SEC XBRL data. Our own errors are listed with everyone else's.

Claim	How checked	Found	Confirmed?
FY EBITDA guide \$275–325M maintained; H2 needs \$203–253M (2.8–3.5x H1)	Q1 + Q2 press releases (8-K exhibits), both benches independently	All four numbers verified; guide originally \$480–500M, cut twice	YES
Bear brief: “management’s own Q3/Q4 EBITDA stack under-bridges the guide”	Red bench fetched the filed Q2 release	No quarterly guidance exists in any filed document — transcript only; the brief also misread full-year segment-margin targets as a quarterly path	NO — refuted (brief error)
Bear brief: “FCF guide cut to \$150–200M”	Both benches fetched Q1 + Q2 releases	No FCF guidance in either release; only capex guidance (\$90–110M, then \$70–90M — red missed the second one)	NO — refuted (brief error; red partial miss)
H1 free cash flow – \$181.6M	10-Q: OCF – \$131.3M, capex \$50.3M	Verified	YES
H2 2025 comparison (~\$269.5M FCF)	Blue bench, SEC XBRL: FY25 OCF \$470.4M – H1 \$144.6M = \$325.8M, less ~\$56M capex	Verified — red had flagged this as unreachable; blue closed the gap	YES
Bear brief: “receivables rose to \$1,715M”	10-Q	Receivables \$839.1M (from \$723.4M); contract assets flat at \$937.7M; \$1,715M matches no line item	NO — refuted (brief error)
Bear brief: “net debt \$415M → \$1,061M”	10-Q	Actual: net cash \$62.8M → net debt \$582.9M. The ~\$646M swing is real; both endpoints were wrong	PARTIAL — direction right, numbers refuted
Leverage ~1.9x, covenant-compliant	10-Q compliance statement	Compliant per 10-Q; but red’s claim that management’s 1.6x “reconciles fine” was itself unverified — neither bench pulled the credit agreement’s definition (red error)	PARTIAL
Price path since the June cut (“flat” per brief; “V to \$65” per red)	Blue bench pulled 3-month daily bars via proxy	3-month minimum close ≈\$74.76; the \$65 low predates the June event — red conflated the 52-week low with the June cut (red error); the brief’s “held flat” is also wrong; realistic path is a dip to ~\$75 and ~+11% recovery	PARTIAL — clean bars unavailable
Two 8-K/A amendments (suspicious for a company sued over its controls?)	Red bench fetched the amendment text	Benign clerical fixes (period headers mistitled); blue did not independently re-pull	YES (single-bench only)
\$244.0M unapproved change orders, \$205.9M recognized as revenue; retainage \$291.3M; H1 estimate revisions – \$87.6M	10-Q, both benches	All verified; Q2 alone –\$71.1M of revisions. The original brief never surfaced this at all	YES
FY net-income guide \$71–101M vs H1 loss – \$6.7M ⇒ H2 needs \$78–108M	Blue bench: Q2 release + 10-Q	Verified — red demolished the transcript version of the bear case and missed that it rebuilds from filed documents (red error)	YES

Claim	How checked	Found	Confirmed?
Energy margin: FY target 6–8% vs H1 actual 3.6% ⇒ H2 needs ~8.4–12.4%	Blue bench math from release + 10-Q	Verified; Q2 Energy gross profit negative (–\$2.7M)	YES (flat-H2-revenue assumption stated)
Live quote	IBKR — permission denied for both benches; local price cache also denied	Stuck with the evidence pack’s \$83.30	NO — coverage gap
Q3 earnings date 2026-11-02	Derived from yfinance only	No company press release names it (Q2’s date was announced ~2 weeks ahead)	NO — unconfirmed

Also for the record: the machine-built evidence pack’s “primary document excerpt” was unusable XBRL header noise — a pack-builder defect both benches had to work around.

Primary source: [Primoris 10-Q for the quarter ended June 30, 2026](#); also the [Q2 earnings release \(8-K exhibit\)](#) and [SEC XBRL operating-cash-flow series](#).

PROPOSED ENTRY BANDS

Both benches say no-entry — long or short — before the Q3 report. These are the reopen bands, from the benches’ own math:

- **Now through the Q3 report:** size 0%. No resting orders (a resting order into an unresolved earnings event is an accidental bet we haven’t underwritten).
- **Reopen trigger #1 — the Q3 report (~2026-11-02, date UNCONFIRMED):**
 - *Bull path:* Energy gross margin printed at ≥ ~8% **and** operating cash flow strongly positive **and** change-order approvals disclosed → the maintained guide is real; re-run the process for a long entry near wherever it trades (no pre-committed level — the print changes fair value too much to set one now).
 - *Bear path:* third guidance cut, or a change-order reversal / further estimate revisions → any short requires a fresh court pass first (short-side gates apply); do not short on the headline.
- **Reopen trigger #2 — price, pre-report (information levels, NOT entries):**
 - Close **below \$74.76** (the recovery low since the June cut): the market is abandoning the maintained guide — re-open the file immediately rather than waiting for November.
 - Close **below \$65.00** (52-week low): new-low regime; full re-court before anything.
- **Pre-report event tripwires:** any 8-K (pre-announcement or change-order news), a press release fixing the actual Q3 report date, and the 2026-09-21 lead-plaintiff deadline in the securities case (procedural; date not yet verified from the docket).
- **Sizing if a post-print entry is later approved:** to be set at adjudication — nothing in this court supports pre-committing a size.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 65.0 (deck-provisional: 52-week-low breach — new-low regime, full re-court required)
- filing watch: 8-K,8-K/A,10-Q until 2027-02-12 (deck-provisional: pre-announcement, change-order approval/reversal disclosure, guidance action, or Q3-date PR on CIK 136)
- dated pack PRIM|2026-11-02: PRIM: Q3 2026 report — resolves Energy margin and cash-flow bridge; date vendor-derived (date confirmed=False)
- dated pack PRIM|2026-09-21: PRIM: securities-litigation lead-plaintiff deadline (procedural) (date confirmed=False)

What remains unverified

- **The transcript-only guidance** (quarterly EBITDA stack; the alleged \$150–200M FCF guide): never confirmed against any filed or furnished document. Until a vetted transcript or presentation is diffed, these numbers carry no evidentiary weight in either direction.
- **Clean daily price bars:** IBKR was permission-denied for both benches, a backup source returned nothing, and the proxy-fetched Yahoo bars had unreliable date labels. The “dip to ~\$75, +11% recovery” path is our best reconstruction, not a verified tape.
- **The credit agreement’s leverage definition:** the 10-Q says covenant-compliant, but neither bench pulled the agreement, so we cannot independently reconcile management’s 1.6x against our 1.9x.
- **H2 2025 capex split** (the ~\$56M behind the \$269.5M free-cash-flow comparison is an estimate).
- **The Q3 report date** (vendor-derived, no company PR).
- **The 8-K/A contents** were checked by only one bench.
- **The 2026-09-21 litigation deadline** has not been confirmed from a primary court document.
- **Live tape:** everything above is anchored to the pack’s \$83.30; re-pull a live quote before any adjudicated action.

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